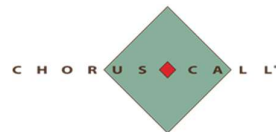




**“Avalon Technologies Limited
Q1 FY27 Earnings Conference Call”**

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MODERATOR: MR. TANAY SHAH – DAM CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Avalon Technologies Limited Q1 FY27 Earnings Call hosted by DAM Capital Advisors. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Tanay Shah. Thank you, and over to you, sir.

Tanay Shah: Thanks, Atharva. Good afternoon, everyone, and a warm welcome to the Q1 FY27 Earnings call of Avalon Technologies. To take us through the results today, we have with us from the management, Mr. Kunhamed Bicha, Chairman and Managing Director; Mr. Suresh V.R, Chief Financial Officer; Mr. Shriram Vijayaraghavan, Chief Operating Officer; and Mr. Venky Venkatesh, Chief Sales Officer.

Mr. Bicha will give us an overview of the business performance and will be followed up by Mr. Suresh's remarks on the financial performance, post which we'll open up the floor for Q&A. As we move forward, it is important to bear in mind that any forward-looking statements made during the call are subject to potential risks and uncertainties, both known and unknown.

Now without any further delay, I'll hand over the floor to Mr. Bicha for his initial remarks. Thank you, and over to you, sir.

Kunhamed Bicha: Thank you, Tanay. Good afternoon, ladies and gentlemen. A very warm welcome to Avalon Technologies Q1 FY27 earnings call. I want to begin by thanking our investors for your continued trust and support. Your confidence has enabled us to stay focused on what really matters: consistent execution, disciplined investment, and building a long-term profitable business. We are grateful for your trust and our commitment to deliver has only grown stronger.

Q1 FY27 has been another strong quarter. This marks our eighth consecutive quarter of improvement in performance and growth across key metrics. What stands out is the quality and breadth of this growth. Our revenue growth is well diversified across geographies and industry verticals. Our profitability metrics have improved. ROCE has moved up to 23.4%, reflecting that we are scaling with discipline. Net working capital has improved, and our order book continues to provide good visibility on quarters ahead. Our three growth engines: our existing business, new program wins, and our expanding opportunity pipeline, are all gaining momentum together. Based on the strong momentum across our business and the visibility we have on

programs ramping through the year, we are revising our FY27 revenue growth guidance upward from 24 to 27% to 26 to 30%.

Moving to the financial highlights. Revenue for Q1 FY27 was Rs. 484 crores, up 50% year-on-year from Rs. 323 crores in Q1 FY26. Q1 revenues are marginally ahead of Q4 FY26, a positive start to FY27. During the quarter, India contributed 41% of revenue and exports business contributed 59%. India business grew 53% year-on-year and exports business grew 48% year-on-year, with both geographies contributing to growth.

Now on to industry vertical revenue contribution, Industrial contributed 32% of our revenues, growing 52% year-on-year. Mobility contributed 25%, growing 36% year-on-year. Within Mobility, Rail accounted for approximately 15% and Aerospace 8%, growing 37% and 47% respectively. Clean Energy contributed 29%.

Our gross margins for the quarter came in at 34.7%, within our guided range of 33 to 35%. EBITDA margin came in at 12%, up from 11.8% in Q4 FY26, reflecting continued operating leverage as revenues grow. Profit after tax was Rs. 35 crores with a PAT margin of 7.2%, a meaningful improvement year-on-year.

As of June 30, 2026, our order book grew 23.4% year-on-year to Rs. 2,208 crores with an average execution period of 14 months. Long-term contracts with execution timelines ranging from 15 to 36 months stand at Rs. 1,256 crores. Order book growth remains well diversified across industry verticals and geographies.

Net working capital days improved to 117 days in June 2026 from 142 days in June 2025, an improvement of 25 days year-on-year. Within this, inventory days improved from 104 days to 94 days. Receivable days reduced by 13 days and payable days improved by 2 days over the same period. Asset turns are at 9.9 times and return on capital employed stands at 23.4%.

India manufacturing operations, which serve both domestic and global customers, accounted for 72% of our revenue in Q1 FY27, delivering healthy profitability at an EBITDA margin of 16.7% and a PAT margin of 11.1%. US operations contributed the remaining 28%.

Moving on to our US manufacturing operations. Losses in US manufacturing have continued to narrow, coming in at approximately Rs. 4 crores in Q1 FY27. Our US manufacturing plant has a clear and deliberate role. It is where new customers come in, validate our capabilities, and get comfortable with Avalon as a partner. Once that comfort is established, production progressively transitions to India manufacturing, where customers benefit from our cost structure, depth of capabilities, and scale.

Our manufacturing presence in both geographies gives customers the flexibility to start in the US or come directly to India, and we are well positioned to support both. As India manufacturing continues to scale over the coming years, we expect US manufacturing contribution to naturally settle at around 20% of our total revenue.

On revenue guidance, we had previously committed to double revenues from FY24 to FY27, a target of approximately Rs. 1,734 crores. Our trailing twelve month revenues have already crossed that milestone, nearly a year ahead of our commitment. As highlighted earlier, reflecting on the strong Q1 performance, we are now focused on the next doubling, from Rs. 1,603 crores in FY26 to approximately Rs. 3,200 crores by FY29.

The products we manufacture and the verticals we build are long-term in nature. Program lifecycles run for years, sometimes decades. Our customer relationships deepen over time and our revenues compound accordingly. We encourage you to evaluate our progress over a multi-year period. That is how we manage this business and that is the lens through which our strength, performance and value will be most meaningfully perceived.

Now moving to our key growth drivers. Our existing business continues to provide a strong and steady foundation, with long product lifecycles, mission-critical programs, and recurring revenues across rail, aerospace, industrial, clean energy, and communication. On new business wins, the programs we have been building over the last two to three years are now progressing well. Aerospace cabin sub-assemblies are moving towards volume. Production of locomotive engine sub-systems is underway. The Kavach anti-collision system is on track for commercial production.

On semiconductor equipment, we have increased our allocation with one of the world's leading wafer fabrication equipment suppliers, expanding from power box assemblies into other products, with production ramping over the next few quarters. In aerospace, we have secured incremental box build business with a leading aerospace company, further strengthening our engagement in the export market.

On our opportunity pipeline, we continue to see a healthy and expanding set of opportunities across geographies and verticals. Southeast Asia and Europe continue to add new dimensions to our geographical reach. All three growth engines are gaining momentum together.

On our manufacturing footprint, our new manufacturing plant focused on domestic demand in Chennai is now complete and will commence commercial production from Q2 FY27. As we deepen our presence in semiconductor equipment manufacturing and advanced electronics, the need for world-class infrastructure becomes increasingly important. We are in the process of acquiring a large parcel of land in Chennai that will support Avalon's growth over the next decade, catering to both domestic and export opportunities. We will share more details as it crystallises.

We are also building the organisation for the next phase of growth. We are investing in leadership, process automation, IT systems, and AI-enabled capabilities across functions. Some of these investments are being made now, ahead of the growth.

As I close, let me offer a broader perspective. Global supply chains are being realigned. Customers are looking for reliable manufacturing partners beyond traditional geographies. India is emerging as a credible and competitive destination. We are well placed in this environment.

Avalon is building a globally integrated electronics manufacturing business, focused on complex box build solutions for mission-critical applications across high-growth industries. Our continued goal is to build an enduring institution that customers trust, that is deep in engineering capability, and that is built to last. We remain committed to efficient capital allocation, strong governance, disciplined execution and profitable growth. With that, I will hand over to our CFO, Suresh Veerappan, for a detailed overview of our financial performance.

Suresh V.R.:

Thank you, KB. Good afternoon, everyone.

Let me take you through the financial performance in detail.

Revenue for Q1 FY27 was Rs. 484 crores, up 49.8% year-on-year from Rs. 323 crores in Q1 FY26, and up 0.9% sequentially from Rs. 480 crores in Q4 FY26. Our average revenue growth over the last eight quarters has been 46%. Box build contribution has increased from 44.5% in FY22 to 59.9% in Q1 FY27, reflecting our continued focus on complex, high value manufacturing.

Gross margin for Q1 FY27 was Rs. 168 crores, at a margin of 34.7%, within our guided range of 33 to 35 percent, representing year-on-year growth of 46.3% from Rs. 115 crores in Q1 FY26.

EBITDA for Q1 FY27 was Rs. 58 crores with a margin of 12.0%, up from 9.2% in Q1 FY26 and 11.8% in Q4 FY26, reflecting operating leverage as revenues scale. Adjusting for the tariff pass-through impact, our EBITDA margin would have been approximately 0.9% higher. PAT for Q1 FY27 was Rs. 35 crores with a margin of 7.2%, up 145.3% year-on-year from Rs. 14 crores in Q1 FY26.

We continue to invest in talent, capacity, and inventory to support upcoming growth in new programs. These initiatives strengthen our foundation for long-term growth and are expected to enhance operating efficiency as business volumes continue to scale.

Moving on to the balance sheet, Net working capital improved to 117 days in June 2026 from 142 days in June 2025, an improvement of 25 days year-on-year. Within this, inventory days improved from 104 days to 94 days. Trade receivable days reduced from 87 days to 74 days. Trade payable days improved from 49 days to 51 days. On a sequential basis, net working capital moved from 112 days in March 2026 to 117 days in June 2026. Cash flow from operations was positive at Rs. 32 crores in Q1 FY27, an improvement from Rs. 16 crores in Q4 FY26.

As of June 30, 2026, total debt was INR196 crores, with cash and investments of INR171 crores, resulting in a net debt position of INR24 crores. Net debt to equity ratio stands at 0.03, a comfortable position.

Capex for Q1 FY27 was Rs. 16 crores. Asset turns remain strong at 9.9 times. return on capital employed improved to 23.4% from 10.0% approximately two years ago, a consistent and

meaningful improvement. With improved business visibility, we have revised our FY '27 revenue growth guidance upwards to 26 – 30% from the earlier guidance of 24% to 27%.

To summarize, Q1 reflects continued progress across our key operating and financial metrics, demonstrating the strength of our execution. As we move forward, our focus remains on delivering sustainable profitable growth, improving operational efficiency and strengthening long-term customer relationships.

With that, I request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question comes from the line of Santhosh Seshadri from Avendus Spark.

Santhosh Seshadri: Congrats for great set of numbers. My first question is on long-term steady-state gross margin. We have been historically talking about 33 to 35 kind of margins. And just as we think about some of these newer businesses like semiconductor equipment and the power modules and Kavach that we are working on, so as it scales up, how should we think about the structural impact of these businesses on margin profile? Do you think these businesses like inherently higher on the margin curve and any scope for margin improvement? So that's my first question. I have a follow-up.

Kunhamed Bicha: Thank you, Santosh. That's an interesting question, so if you look at the last 5 years or so, we've always maintained this range. Sometimes we are a little bit higher and sometimes a little bit lower, but this is a comfortable range. Saying this certain set of our industries and products have much higher margins and certain industries have lower margin. So, what you see is the blended rate. So, as you see the higher margin product kick in, you will see some difference. But as of now, this rate is at 33% to 35% with a few quarters being up or down.

Santhosh Seshadri: So, there is scope for improvement in the long run. But as of now, we are maintaining at 33% to 35%. So, is that the takeaway?

Kunhamed Bicha: That's our aspiration, as you very well know.

Santhosh Seshadri: And my second question is on the cost structure below the gross margin line items. So here, we have been talking about roughly 50-50 split between fixed and variable cost. So, my question here is, given the strong revenue growth and the kind of ongoing investments that we have in the manufacturing footprint that you mentioned in the opening remarks. So, at what stage do you think some of these fixed costs become semi-variable in nature? And what would be the implication on operating leverage over the medium term for FY27 and FY28?

Suresh V.R.: Hi Santhosh, Suresh here. Between 45% and 50% of the expenses below the gross margin are semi-fixed or fixed in nature. And most of the expenses are semi-fixed in nature. What we believe is with growth in revenue, we believe the operating leverage will continue to play out.

If you look at our India manufacturing business, it has delivered an EBITDA margin of 16.7% and it is a continuing delivery in terms of profitability over the last few quarters. So, we expect

the operating leverage to play out. We generally do not give any particular guidance per se for EBITDA margins. But otherwise, I would add to what KB said that we have consistently maintained our gross margin percentage in the range of 33% to 35%. We believe we can continue to do that.

Santhosh Seshadri:

And just one last question. Some of your peers have recently spoken about opportunities in the data center space and ramping up business starting from FY'27. So, could you share your perspective on this particular opportunity? Are you currently in talks with any of the potential customers? And also, where do you see yourself positioning within this value chain? Will it be mostly in the servers or rack systems or power management? Any thoughts on that?

Kunhamed Bicha:

So, as you know, Santosh, that one piece is the world is going through a super cycle in power. We have HVDC systems and all that. So we are playing with some of the leaders that we started production with a couple of them. So that's going to be a part of that. But saying that, we are also working with multiple customers who supply off-grid power into the data centers, okay? And that is bound to grow.

And also, now into the future, you will see us work more towards the rack and the cooling systems, okay, which we have not won the business yet, but we are still working towards that. And of course, you know all this growth comes with the semiconductor equipment industry. We are well positioned for that in the near future.

So we are not going to make server boards as of now, okay? I'm not saying that we won't do that in the future. But anything around it, which is probably the fastest-growing element we internally play and we apply in some of those areas. Did that answer your question, Santosh?

Moderator:

The next question comes from the line of Siddhartha Bera from Nomura.

Siddhartha Bera:

Congrats on a great set of numbers. Sir, first question is on the two segments HVDC and semi-SPE. Where are we in terms of the other wind cycle? When should we expect that to come through for this year? And second is on the clean energy side, we have seen a very strong growth in this quarter on a Y-o-Y basis. So is there any new customer addition or it is more from higher share of business from the existing customers? If you can throw some more like this?

Kunhamed Bicha:

Yes. On the first piece, I mean the revenue has started for both the sectors, okay? So HVDC as well as semiconductor equipment revenue has started but it will gradually grow. It is not switch on and off and because there are multiple systems, multiple products. So it's starting, okay? It started this quarter and we'll see the ramp in the following quarters.

On your second part of your question, clean energy has been fluctuating for us over the years and this has been a great quarter for that. And we will continue to see the growth. But certain quarters, you may see clean energy up. That's why we are diversified. Certain quarters, you may see the mobility up certain quarters industry has always been up, okay?

Since everything is growing and certain cuts in certain production happen at various time frames. So you will continue to see growth in all sectors. What we are happy is that every sector is growing, except for communication we had earlier.

Siddhartha Bera: And would you be able to share the U.S. loss for this quarter? Have you already turned around where are we in terms of the plan?

Suresh V.R.: In terms of U.S. manufacturing, we have reported a PAT loss of approximately INR 4 crores in Q1 FY'27. It is largely narrowed down, two years ago, it was approximately around INR 14 crores, one year ago, it was around INR 9 crores losses and now it narrowed down to INR 4 crores at PAT level.

Moderator: The next question comes from the line of Sameet Sinha from Macquarie.

Sameet Sinha: Congratulations on another incredible quarter. I guess a couple of questions here. So, I was really happy to see about how you spoke about bolstering your operations and leadership because usually, when smaller companies grow at this pace, you've done a great job with execution. But at some point, things have to fall by the wayside. So, if you can just provide a little more color about what you're doing, what sort of leadership positions you're hiring for. I think that will be really helpful?

Secondly, historically, most of your products have been PCBA and box-build. Do you think you have an opportunity to go into new product categories? Or you'd rather just service with these products because demand obviously is there and you're executing on the pipeline? Or maybe you'll tell me about Kavach and aerospace and all have different new products. So I'd like to know more about the SKUs that you have?

And the third question is, generally, the second half of the year, your business does better than the first half. So with 50% growth in Q1, how should we think about the second half? I know the guidance implies kind of 25% growth in the next three quarters, but if you can provide some clarity more around the second half versus first half dynamic?

Kunhamed Bicha: Sameet, nice to talk to you again. So if I miss out any part of your question, just remind me once. The first part was leadership. See, as we grow each of our divisions and capabilities and verticals, we need leadership. These are growing from \$20 million to \$100 million; however you want to look at it.

So we have taken a dedicated or a very focused approach to get leadership. I believe the first level of leadership is there already with our CEO, CFO, CSO and we're adding probably five or six new candidates at the VP level to either lead a BU or lead a capability, okay? And that work has already started. So, we're trying to plan for the next three years of growth at least, who are the right leaders.

The same thing we did three years back when we started with the C-levels to get the company going in the right direction. And so we are looking for the right candidate. We are not going to

rush into it because that candidate is very important to us. Yes. So you want to add something Shriram?

Shriram Vijayaraghavan: Yes. Thanks. Sameet, so three pieces of fundamental building blocks of growth. One is people. Second, I think what KB touched upon our processes internally. And third is automation. So the focus is to build the capability in all three areas and that's work that's underway. I think KB has given you the highlights on the leadership. I just want to touch and make sure that it's across all three areas.

Kunhamed Bicha: And the second question, if you could remind me, Sameet?

Sameet Sinha: Yes, it was more around products. So historically, you've done PCBA.

Kunhamed Bicha: So we are vertically integrated. So that's why you see our box-build move from 44% to 60% in two years. So we are building a lot more metal. We're building a lot more cables. We're building a lot more plastics. We're building a lot more magnetics to get into our own final product and that's why you see a box-build ratio going up.

Saying that, there's one or two areas, actually one which we may announce, I don't want to resay that. We will enter into one area, which is well within our capability. And that I think in the next two quarters, we'll make that announcement. So there's one area we'll add because we see a lot of opportunity in that and it will add to our box-build capabilities.

Suresh V.R.: Just to add to that, we are getting into newer industrial verticals as well as newer geographies like Europe, Southeast Asia. So in terms of increasing our target market, the work is already underway and we will start seeing the results of that in the coming quarters.

Sameet Sinha: And last question about guidance.

Kunhamed Bicha: Sameet, we are conservative. The problem we have, to be honest, is when we get into these large programs, for example, it may happen in February of next year or customer may delay to April. So we're trying to be conservative. So it cuts in February, everything is well and good, okay? If it cuts it in April, it's a next year thing. But look at us from a three-year lens, right?

Like we said, our business is not quarter-to-quarter because our customers look at us over a multiyear period and are we a good partner over the next 10 years, right? But we're trying to get that all together and try to give you a feel of what we can be. But in a three-year period, as we have done in the last time we said we'll double in three years but we did it in two years. But the aspiration is always to do faster. So you look at us from that rather than you know, what's going to happen next quarter or the following quarter.

Moderator: The next question comes from the line of Balasubramanian from Arihant Capital.

Balasubramanian: A follow-up on the previous participant on the guidance side, we are doing INR50 crores to INR60 crores annual capex with 10x of asset turn and it is the right way to understand every year INR500 crores to INR600 crores additional revenue. I think if you adding that it will come

nearly INR3,000 crores to INR3,400 crores top line by FY'29. And secondly, this sunrise sectors like clean energy and aerospace and defense, this also same kind of 10x asset turn?

Suresh V.R.:

So firstly, on the capex side, last year, we did a capex of INR 56 crores and Q1, it is INR 16 crores. But like what KB highlighted in his opening remarks, we are looking at expanding our manufacturing footprint in Chennai. So we will do it in a modular fashion and that will involve incurring additional capex to that extent.

Having said that, we are focused on capital efficiency. If you look at our ROCE a couple of years back, approximately two and a half years back, it was around 10%. Today, it is 23.4%. Our goal is to improve that even further. But every asset, new asset, new plant that comes into the picture, it will take its own time frame for it to reach its optimum capacity in terms of utilization. So, it will gradually get to that, but our focus is to improve our ROCE.

Kunhamed Bicha:

And I will add to this as we go into the bigger box-build solutions, space is a premium. So, we are building up land and buildings before we actually put machines so that we are comfortable with that. And then we'll add the machines when required. Question, answered, Mr. Subramanian?

Balasubramanian:

On the qualitative perspective, it's been answered. And sir, my second question, I think you have in Q1, nearly 50% top-line growth, order book also increased nearly to 23%. But if you look at our working capital, it came down to 142 to 117. So generally, with growing order book and revenue, it leads to working capital strain, for example, building inventory for new programs. So, I'm just trying to understand how we managed to improve the working capital days and how do you look at in coming years?

Suresh V.R.:

Thank you for that, Bala. So that was consistent and continuous effort over the last two, three years on each bucket, inventory, receivables and payables. Inventory days improved to 94 days from 104 days. Same is the case with receivables and payables. But again, what we said in the opening remarks in the previous quarters, we are also having some new programs going parallelly.

So, for new programs, we may have higher net working capital at the start and you will find that efficiency over a period of time. For existing businesses, we would have already found our efficiency in net working capital. But overall, what was our guided range in the previous quarters was around 120 to 130 days. So we are well within that range.

Balasubramanian:

Sir, my last question is U.S. loss, it's around INR 4 crores in this quarter. Last year, it was INR 9 crores. So, I'm trying to understand what is the minimum revenue run rate required to achieve a breakeven whether we can expect by Q3 or Q4?

Suresh V.R.:

We have not given any quantum at which we will reach the breakeven. But what we have highlighted in the earlier calls also is by the end of this fiscal year, we would like to see a steady-state EBITDA breakeven and then following that PAT breakeven.

But what I would like to highlight here, is the important way to look at our U.S. business. Our plan to reel in the customers, make the customers comfortable and then as it ramps up, transition it to India manufacturing. So it is our beachhead from that perspective.

Moderator: The next question comes from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My first question is related to the box-build as from the last four quarters, we are continuously seeing the increase in the contribution from the box-build and also you had highlighted the way forward, we will see this trend to continue. How you are seeing the gross margin profile with the box-build contribution to increase the way forward?

Kunhamed Bicha: See, our business model is to get to the box-build. We may start with the PCB, we may start with the metals, we may start with the cable. But our goal two to three years from where we start with the customer is to do the whole box. If he doesn't give it to us in the beginning.

Of course, the gross margins are better in box-build, okay? And some of these take time for the gross margins to improve. It's over a period of time. It's not as soon as you start. Then the program starts, the gross margin may be a little lower, okay? But over a period of time, it does increase as the processes and our quantum buys help.

The other piece is with the tariffs we're still maintaining gross margins, okay? It does have an effect. Though not a big effect, it does have an effect. So in spite of that, we have maintained the gross margins.

Praveen Sahay: So if you'll maintain the contribution of 60%, we may see the improvement in the gross margin? Fair understanding?

Suresh V.R.: The way to understand it is if you ask do we anticipate our box-build percentage to go up, the answer is yes because that is one of our strength points, building complex boxes. But on one side, we will have new programs, which will start maybe at a lower percentage. On the other side, we will have existing business, which may be at a higher percentage. What you see has at 33% to 35% is a blended mix of both of that. So I think it is best to assume and estimate the gross margin percentage of 33% to 35% to continue.

Praveen Sahay: Next question is related to the order book. Out of your INR2,200-odd crores, can you give some indication that how it has been mix of segments?

Kunhamed Bicha: So it's broadly based on the segments and the growth or the percentages we have kind of declared across verticals, some certain quarters, some may be higher than the others. And we always aspire to be around 25%. But industrial right now is around 32%. Our total order book, if you look at it, we only look at a three-year window.

We have orders from 3 to 15 years. We don't count that. That itself is INR3,465 crores. And in the short-term, which is the order book for the next 12 months or so, it's INR2,208 crores. So very comfortable on what we need to do in the near-term. And we have long-term contracts which we don't count in this.

- Praveen Sahay:** Lastly, one clarification. So, in the international business, which now the U.S. is 60% of your business, is that majority is from the clean and the mobility businesses?
- Kunhamed Bicha:** No, it's across. A lot of the clean is done in the U.S., but the rest of it is done in India. A lot of it is industrial. We don't have rail in the U.S. aero industrial, communications as well as a big chunk is there because of the subsidies in the U.S. But again, the sub parts of these U.S. builds are done in India, okay? So it's a mix.
- Suresh V.R.:** Even in the U.S., we have a very balanced and diversified growth across verticals.
- Praveen Sahay:** Okay, okay, got it. Thank you, sir. All the best.
- Kunhamed Bicha:** Thank you, Praveen.
- Moderator:** Thank you. The next question comes from the line of Vipraw Srivastava from PhillipCapital.
- Vipraw Srivastava:** Just two quick questions. Firstly, on the order book side. So for the last three quarters, your order book has been hovering around INR 2,000 crores. This quarter also, it's around INR 2,200 crores. So I mean, in that sense, given that your revenue growth is exceeding order book growth, any reasons for that? Why this order book growth slow or am I missing something?
- Kunhamed Bicha:** So, if you look at it, right, it's always consistent and it's growing, but year-on-year it has grown 23.4%. So we are very well covered for the next 12 months to 36 months, okay, in the sense of what we want to achieve. If you look at it, we are saying we're going to do INR 3,200 crores in three years. More or less that order book is covered, right?
- If you look at it INR 2,208 crores in 12 months to 14 months and INR 1,256 crores in 14 months to 36 months. And again, we have 5-year contracts, we have 10-year contracts. It's easy to add them, but it's not the right message to give that these orders are there for years, right?
- So, we'd like to keep it in this range, which is 14 months to 36 months so that you get a realistic perspective rather than a high perspective of orders worth so much because some of these multiply 10 years, what you do in one year, it's a huge number. We don't want to put that out.
- Suresh V.R.:** Another important perspective to have on this is some of the new programs may be on pilot stage. And so, whenever they move from pilot stage to ramp up production, the larger of orders will come and fall. But for us, the benefit and advantage what we see in our business is the annuity scale of orders what we receive, the long-term nature of the life cycle of the product as well as the customer relationship with us. I hope that answers the question.
- Vipraw Srivastava:** So just a quick follow-up on this. So given that your -- again, please correct me if I'm wrong. Given that your current order book is around INR 2,200 crores and your average execution period is 14 months, so that is very close to what the guidance you have given. So, is this understanding, correct?
- Kunhamed Bicha:** We already finished quarter.

- Suresh V.R.:** The way to look at it is our order book is executable over an average period of 14 months. So for some customers, it may be three months, some customers, it may be six months. So, it's not a straightforward straight-line number over there. But yes, you can have the assumption.
- Vipraw Srivastava:** Last question from my end on the clean energy side. So obviously, that has seen a very rapid growth in quarter one. So going forward for FY27 and '28, obviously, since the IRA incentives for solar projects in U.S. ends on December 31, '27, so I mean, you expect such growth to continue for next couple of years? Or do you plan to offset that by onboarding new clients, new projects? Any thoughts on that?
- Shriram Vijayaraghavan:** Just a quick point here, the subsidies and the support continue until 2032 because this is a storage solution. So these have a longer sort of subsidy support in the U.S. at this point. Suresh.
- Suresh V.R.:** So Vipraw, like we have discussed in the last four, five quarters, we are not in the solar panel business, but in the energy storage solutions business. That is number one. And number two, if you look at the growth across verticals, industrials has grown by 52%, Aero has grown by 47%, rail has grown by 37%, medical has grown by 15%.
- So, the growth is across verticals. It's just that in some quarters, one vertical may have lumpy growth, and it goes on. But for us, the comfort we derive is the long-term annuity of business. So that's the kind of business that we are targeting.
- Vipraw Srivastava:** Just a quick follow-up on what Shriram sir said. Sir, you rightly mentioned that battery energy storage incentive is still 2032. But as far as I know, then please correct me if I'm wrong, majority of battery installations in U.S. happens along with solar. It's not in isolation. That's what the data says. So even if the incentives continue in 2032, if a panel is not being installed, what are your comments on the future of the battery energy storage industry?
- Shriram Vijayaraghavan:** We're happy to answer this offline. There's a method to this situation. We're happy to take this offline.
- Suresh V.R.:** Over the last two years, even this vertical has grown along with all the other verticals.
- Vipraw Srivastava:** Sure sir, thank you. No worries.
- Shriram Vijayaraghavan:** Thank you.
- Moderator:** Thank you. The next question comes from the line of Bhavik Mehta from JP Morgan.
- Bhavik Mehta:** Hi, thank you. Just one question again, question again going back to the guidance. Obviously, after a very strong 1Q, one would have assumed that the guidance would have been upgraded to at least more than 30%. But given the range is more 20% to 30% right now, just trying to understand what are the various scenarios you are baking into the guide?
- Is this new guide like the worst possible outcome even if everything goes wrong, could you deliver on this guidance and hence, this is like the worst case to assume there could be some upside to it if the project you are hoping to convert comes through?

Kunhamed Bicha: The way we look at this, I know everybody loves quarter-to-quarter. But as a business, when we plan, we plan on a three-year horizon. And that's what we try to deliver, okay? Some quarters may be huge; some quarters will be lower. But saying that we are conservative, to answer your question, we are conservative. We don't want some of the reasons of when these new projects will kick into volume, right?

Like I explained before, it could be in February of this year or it could be in April of next year. It's two months. It doesn't matter to the customer, but it does matter to us. So, we do have some conservatism in this. And that's what we are comfortable to be honest, rather than go out with flying numbers and chase that. And we've demonstrated that in the last seven, eight quarters.

Suresh V.R.: To add to that, Bhavik. The kind of new programs that we have got in, whether it is semiconductor equipment or in the industrial sector or in the power vertical or in terms of new geographies, getting into Southeast Asia or into Europe is exciting for us because it may not be fully reflected in the P&L today, but it is there either as a pipeline or waiting to get into a commercial ramp perspective.

Kunhamed Bicha: So Bhavik, just to kind of echo on what Suresh said, I think we have never been this excited on the possibilities. It may not show in the P&L, okay? The type of products which are coming in and the type of geographies which are coming in at least in 25 years of doing this, I've not seen that. So midterm and long term, we are very, very positive.

Bhavik Mehta: Okay, got it. That is helpful. Thank you.

Kunhamed Bicha: Thank you, Bhavik.

Moderator: Thank you. The next question comes from the line of Archit Shah from 360 One Capital.

Archit Shah: Thank you for the opportunity and congratulations for good set of numbers. Sir, just one question that the growth that we are seeing, the 40% growth and the guidance that we are giving. The fundamental question is, is there any split or is that a pricing growth because of the component prices that have gone increased so much? And tomorrow, if they correct or remain stable growth remain the same? Will we still be able to beat the guidance that we are doing right now?

Suresh V.R.: Hi, Suresh here. Our last eight quarters average revenue growth is 46%. And over the quarters, across verticals, across geographies, this growth has reached. And even now if you look at this quarter, it is well diversified in both the U.S. market, the export market and the India market. So if your question is if there is any one-off growth in this, the answer is no. The answer has been the same over the last past quarters also.

Kunhamed Bicha: Just to get that we don't have exposure to memory as much because we are not in the consumer space in the server.

Archit Shah: So like, let's say, other components like copper and PVC and everything. So tomorrow, if those prices continue to rise or increase, will it show higher growth in the numbers and versus if they stay stable or decline a bit that I wanted to understand.

Shriram Vijayaraghavan: Yes, Shriram here. So, all of these components you talk about form a part of the bill of material, right? So, you'll have metals, you'll have cables, you'll have PCB, you have a lot of other things. So on the whole, we don't believe this is driving the increase in prices, right? Ultimately, as Suresh said, right, this is broad-based growth. It's been driving for the last eight quarters. And the margins are holding between 33% and 35%. So, this is a sort of inherent business growth that you are seeing.

Archit Shah: Yes, that is what I was looking for. Thank you so much, sir.

Shriram Vijayaraghavan: Thank you, Archit.

Suresh V.R.: Thank you, Archit.

Moderator: Thank you. We have the next question from the line of Tanay Shah from DAM Capital. Please go ahead.

Kunhamed Bicha: Hi, Tanay, are you there?

Moderator: Hello, Mr. Tanay, can you hear me? Can we go to the next question? Okay, so we will move to the next question. The next question comes from the line of Siddharth S from NAFA. Please go ahead.

Siddharth S: Congrats on good set of numbers. So, I'd just like to get some clarity on your exposure on an overall basis to the defense space. It seems to be the sector and the hot sector at the moment. So at the moment, I think the medical and defense combined comes close to 10% of your revenues for Q1 in FY27. I like to get some light on if you plan to foray into that space via the PCB or the whole EMS ecosystem or the supply chain as a whole, if you have any plans to actively increase the focus there or what's your stance on it?

Kunhamed Bicha: Thank you, Siddharth, for that question. We have nothing against the defense business, but it's a very lumpy business. It's all in the right way, I should say. Saying that we do defense, we do defense in India as well as in the U.S. And it's one of the verticals we are looking at to focus. We have done the first set of hiring for look at the defense segment three years from now, okay?

Because that is the time frame, we need to spend to get the larger chunks in, okay? So again, whether the whole world is all round, right? defense will grow. And I'm pretty sure we'll be a part of it, and we have taken the first steps to look at it as a vertical, not saying that we have created the vertical. We're starting to look at it, how do I expand to get into this space in a meaningful way. We are still doing quite a bit of it, but not in large numbers.

Siddharth S: Understood. Understood. Thanks for that clarity and wish you all the best.

Kunhamed Bicha: Thank you, Siddharth. Thank you, Siddharth.

Moderator: Thank you. The next question comes from the line of Tanay Shah from DAM Capital Advisors. Please go ahead.

Tanay Shah: Yes sir, am I audible now.

Kunhamed Bicha: Yes, Tanay, you are.

Tanay Shah: Just some mix up. Sorry. Thank you so much for taking my question again, sir. Sir, I have two questions, right? I mean if we look at it over the last few quarters, we've steadily increased our U.S. manufacturing, right? I mean, almost from 18% to 20% to now almost 28%. So -- and that's now, in fact, even sort of helped us, if I'm not wrong, almost reach a breakeven level from our U.S. manufacturing standpoint on the EBITDA level.

So, is it fair to say that this is a base which now helps us sort of build on and this becomes a base where we breakeven in the U.S.? Or do you think that this is just a quarterly fluctuation? And what would the ideal split be between India versus U.S. manufacturing?

Kunhamed Bicha: Yes, Tanay. So as we grow, as the top lines grow over the next few years, our goal is to keep it U.S. manufacturing around 20%. The best growth for us is made in India for export and made in India for India, okay? But to get these margins made in India, I need the U.S. manufacturing.

So in the short term, so we want to cap it at 20%, you'll have a few quarters which go up along. And most of the significant growth, what we anticipate over the next two, three years is going to be made in India, okay? Saying that, we are also opening up two geographies, right, which we are very excited about, okay, which are Europe and Southeast Asia, which is a very small percentage of exports.

The next two years, we see that hopefully growing in a very, very meaningful way. and Southeast Asia. I mean that is a foray, which I believe will take us to the next level. So you're basically competing with the best in the world, with the best products you can make -- made in India. And this comes with relatively very decent margins.

We're not doing commodity type stuff. We are doing complex systems. So saying that U.S. will always be there. And again, it is a treadmill. I feel bad for the U.S. guys. But any time there's a good number coming in there, it's always more profitable to move to India. So as a group, we tend to do that.

So you'll see certain spike. And that has helped us through the tariff situation, if you look at it, right? It has given a lot of solace to our customers that we are in the U.S. And if they want to launch there, they're more than welcome to launch there at a higher cost. Have I answered your question, Tanay?

Tanay Shah: Absolutely, sir. Absolutely. That makes sense. Sir, the second question which I had is that we have seen a lot of supply chain disruptions, especially from the bare PCB board side, may be for the raw materials or even the glass, the fiberglass or the high-purity PP, which is required. So any comments on that, that is it impacting our operations by any means? Or do we expect any impact going forward? Or are we well covered?

- Shriram Vijayaraghavan:** Hey Tanay. Shriram, here. See, you have instances and different commodities that go up and down. We are generally okay last quarter and this quarter. We've tried to stay a little ahead of the curve in terms of securing some of the supplies of the commodities that you mentioned. So for the time being, with the environment the way it is, we think we're okay. But obviously, we stay on high alert and we'll move quickly where we have to if we need to.
- Tanay Shah:** Great. Thank you so much for answering my questions. I'm wishing you all the very best. Thank you.
- Kunhamed Bicha:** Thank you, Tanay.
- Moderator:** Thank you. The next question comes from the line of Mayank Pandey from Emkay Global.
- Mayank Pandey:** Hi, sir. Congratulations on a good set of numbers. And thank you for taking my question. I have two questions. Question number one is your asset turns, 9.9x. With our ODM revenues going up to 60% of our total revenues, I would have expected that this would probably be a driver to move up the asset turn. So just want to get a theoretical understanding as to what would cause us to reach this level?
- Or put another way, what could be the maximum level that we can see on asset turns with the current asset base and the current sort of growth that we are having? That's question number one. And the second question is on the ODM mix itself. If you could just walk us through the segments that we have in the ODM mix in each of those segments, if that's possible or what is the main driver -- which segments are the main drivers for the ODM to grow further from these current levels? Those are my two questions.
- Kunhamed Bicha:** Thank you. First and foremost, we don't do ODM, okay? We do box-build, which is custom design by our customer. Even if we do the design for them, the IP is owned by the customer. So we do build to print. And that is the reason why most of these complex systems are coming to us. So we don't want to have a situation where we can do our own products, okay?
- So end of the day, even though we do design, it is done for the customer. So the ODM piece is not there. What you're referring to is our box-build solution, which is where we do the whole product for the customer.
- So, we have always strived with our vertical integration to get this number as high as possible. I think we've been successful so far, and we continue to strive, and I think that portion of our business will grow because we may start with one commodity and then, in two to three years, try to get the whole boxes with PCB, cable, plastic all in the box. So that's always been our aspiration as well as our goal. Did I miss anything?
- Mayank Pandey:** So I just want to understand it from a different lens, is it like can this go up to, let's say, 10x, 12x, 15x, how should I -- or like what would be the incremental capex required in that sense.
- Kunhamed Bicha:** Probably if you look at the global market, probably the best in asset turn. What you always commit to is 8x to 10x. Sometimes it goes up and down when you do an investment in a building.

So 8x to 10x is what you should look at, and we want to stay in that range because we have to make investments also right? So that's our goal. I think you should look at us 8x to 10x.

Suresh V.R.: And we are looking to improve our ROCE from here.

Mayank Pandey: Yes, Yes, Yes, of course. And if you could -- sorry, I misspoke earlier on the box. If you could just help me understand which of our segments have the highest, let's say, percentage of box? Or how should we look at it from a segment-to-segment perspective?

Kunhamed Bicha: I think most of the segments except for aero, we can't build a plane, but we build boxes.

Suresh V.R.: Spread across various verticals. It is not focused on just one industry vertical.

Kunhamed Bicha: For example, in railways, you do the interlocking systems, braking systems, the complete box. In the clean energy, we make different types of inverters, battery storage, they're all complete boxes. Only in the aero piece where we do subassemblies.

Mayank Pandey: And sir, just one last question. The ISM 2.0 scheme came out. I know you must have been getting a lot of questions on that, but any chance you see that we could be one of the beneficiaries from it given that we will -- because it specifically calls out equipment suppliers and we might be part of that value chain now with your wins in that space. Any possible benefits you see to Avalon from that scheme?

Suresh V.R.: We believe so, but we are yet to look at the final details of ISM 2.0. But definitely, semiconductor manufacturing equipment is one of the key verticals for us over the coming years. And when the final details come and then we will have more details to share.

Kunhamed Bicha: So, in short, yes, we are looking at it.

Mayank Pandey: And would you be open to like incremental capex for that as a separate carved out sort of structure -- not carved out structure, but let's say, the separate capex to that effect? Or would you want to continue with the current business model?

Suresh V.R.: In the opening remarks, we had highlighted about acquiring a large piece of land in Chennai for our future growth, the next phase of growth. Whether it is with respect to semiconductor manufacturing equipment or advanced electronics, So yes.

Mayank Pandey: Okay, okay. Thank you so much.

Suresh V.R.: Thank you, Mayank.

Kunhamed Bicha: Thank you, Mayank.

Moderator: Ladies and gentlemen, in the interest of time, that was our last question. And I would now like to hand the conference over to the management for the closing comments. Thank you, and over to you.

Kunhamed Bicha: With a healthy order book, expanding customer engagement and a flexible global manufacturing model, we remain focused on delivering profitable growth. We thank our investors for their continued support and look forward to updating you in the coming quarters. Thank you. Thank you very much.

Moderator: Thank you. On behalf of DAM Capital Advisors, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.